

INSTRUCTIONAL AREA
Economics

BUYING AND MERCHANDISING
TEAM DECISION MAKING EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "This event is presented to you through your review of the Career Competencies, Performance Indicators and Event Situation."
- "You have up to 10 minutes to review this information and prepare your presentation. Using the materials provided, you may make notes to use during your presentation."
- "You will have up to 10 minutes to present to the judge(s)."
- "You will be evaluated on your solution to the event situation, how you incorporate the performance indicators of this event and how you demonstrate the career competencies."
- "Turn in all your notes and event materials when you have completed the event."

SOLUTION

- Unique – Demonstrate original thinking, fresh perspectives and an insightful approach.
- Practical – Develop an actionable/viable solution in a real-world context.
- Effective – Develop a solution that achieves relevant outcomes.

CAREER COMPETENCIES

- Critical Thinking – Think critically to understand and solve problems.
- Communication – Communicate clearly, effectively and with reason.
- Decision Making – Consider the impacts of decisions.

PERFORMANCE INDICATORS

1. Explain the concept of competition.
2. Explain the nature of business ethics.
3. Describe factors that affect the business environment.
4. Identify product's/service's competitive advantage.
5. Build trust in relationships.

EVENT SITUATION

You are to assume the roles of the toy buyer and the sourcing manager for TOY HARBOR, a family-owned chain of 22 specialty toy stores known for educational and high-quality toys. The president (judge) wants your team to recommend how TOY HARBOR should compete with low-price online sellers without damaging the trust it has built with families.

Over the past two years, online marketplaces selling ultra-low-priced toys have grown quickly. Many of their products look almost identical to TOY HARBOR's best sellers but sell for 40–60% less. Some of those look-alike toys have been recalled for safety problems, but most parents never hear about the recalls. TOY HARBOR's sales are down 9% from last year, and its building-set category is down 17%.

Last week, one of TOY HARBOR's suppliers offered a solution. The supplier can move production of TOY HARBOR's private-label building sets to a new factory that would cut costs by 30%, letting TOY HARBOR lower prices to compete. However, the new factory has not passed an independent safety or labor audit, and the supplier wants an answer within 30 days. TOY HARBOR's current factory passes every audit and is the reason the stores can promise "safety-tested, every toy, every time."

The president (judge) wants your team to recommend a strategy before the supplier deadline. Specifically, the president (judge) wants your team to:

- Explain how the rise of low-price online sellers has changed the competition TOY HARBOR faces
- Decide whether TOY HARBOR should accept the supplier's offer, and explain the ethical issues involved
- Identify TOY HARBOR's competitive advantage and how to use it to win back shoppers
- Explain how TOY HARBOR can keep the trust of parents, employees and suppliers

You will present your recommendations to the president (judge) in a meeting to take place in the president's (judge's) office. The president (judge) will begin the meeting by greeting you and asking to hear your ideas. After you have presented your recommendations and have answered the president's (judge's) questions, the president (judge) will conclude the meeting by thanking you for your work.

Possible Judge's Questions:

1. Besides competitors, what outside factors in the business environment are hurting toy retailers right now?
2. If the new factory is legal to use, why does ethics still matter here?

Rate the participants' ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain the concept of competition.	0-1-2-3	4-5-6	7-8-9	10	
2.	Explain the nature of business ethics.	0-1-2-3	4-5-6	7-8-9	10	
3.	Describe factors that affect the business environment.	0-1-2-3	4-5-6	7-8-9	10	
4.	Identify product's/service's competitive advantage.	0-1-2-3	4-5-6	7-8-9	10	
5.	Build trust in relationships.	0-1-2-3	4-5-6	7-8-9	10	
SOLUTION						
6.	**Unique** Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	**Practical** Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	**Effective** Develop a solution that achieves relevant outcomes	0-1-2	3-4-5	6-7	8	
CAEREER COMPETANCIES						
9.	**Critical Thinking** Think critically to understand and solve problems	0-1	2-3	4-5	6	
10.	**Communication** Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
11.	**Decision Making** Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSIONS						
12.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2	3-4-5	6-7	8	
					TOTAL SCORE	